

Foreign Investment :-

It refers to the flow of capital from one country to another

There are mainly three types of FI :-

- Foreign Direct Investment (FDI)
- Foreign Portfolio Investment (FPI)
- External Commercial Borrowings (ECB).

• FDI (foreign direct investment)

FDI is a type of investment in which residents of one country acquire ownership of the assets of a firm in another country in order to control production, distribution etc

FDI

Greenfield Investment

⇒ Greenfield investment is one in which investors build their own factory/organisation in a foreign country and train local people to work there

Ex- McDonalds, Starbucks

Brownfield Investment

⇒ These companies expand their business through cross border merges and acquisitions, which allows them to begin operations immediately without much prep.

• (FPI) Foreign portfolio investment

FPI refers to investment made in a foreign country through the purchase of financial instruments such as bonds, stocks, etc.

• ECB (External commercial borrowing)

ECB refers to the loans that Indian entities obtain from non-resident lenders with a minimum average maturity period.

World Trade Organisation

WTO

- International organization

Headquarter: Geneva, Switzerland

Members: 166 countries.

→ India is a founding member

WTO formation - 01/01/1995
before 1947 - 48

1947 - 48 - GATT

GATT

only goods

Trade

WTO

goods

service

T.P.

How it function

A) ministerial conference
is supreme decision making

B) Gen. Council
of DSB

of TR Pol. Review

C) Different Councils

• Good

• Service

• Intellectual Property
(TRIPS) Council

IMF & WB

Background

I - World War - 1914

II - World War - 1929

Economist - J. M. Keynes

In 1944 Britain Woods Summit

44 countries member

They took initiative to
make 2 Association

IMF & also known as
Britain Woods twins

Int. monetary fund

IBRD

Int. Bank for
Reconstruction &
Development

↓

W.B
World Bank

• Financial stability crisis

or
• Sudden financial crisis

or
• BOP crisis

Balance of Payment

• This give loan for
short term

• country reconstruction

• Infrastructure

Roads, Bridges,
Airport

• Development

• This provide loan for
long term

International Organisation

* International Labour Organisation (ILO)

Foundation - 1919 by Versailles Treaty

• UN-affiliated agency, affiliated in 1946 with UN.

Headquarter - Geneva Switzerland

Member: 187 countries

• India is founding member

- 1928 - India at 1st ILO office.

- 1968 - Nobel Prize in Peace

Objective - Labour Right Protect

South Asian Association for Regional Co-operation (SAARC)

→ In 1980 - Bangladesh President Ziaur Rahman Sahab - gives Idea
(in Dhaka)

→ 1985 - 7 countries - founding members.

→ 2007 → 8th member ~~Afghanistan~~

→ 1987 → KATHMANDU (Nepal)

Objective: Social Economic financial
cultural relation

→ India

Pakistan

Afghanistan

Nepal

Bhutan

Bangladesh

Sri Lanka

~~Maldives~~

BRICS - Multipolar cooperation -

Idea - J.O. Nale → 2001

2003 →

Brazil	{	Formation of Brics
China		
India		
Russia		

2010 → South Africa Added

110 -> Shanghai China

2015 -> BRICK, BANK

↳ NDB = HS - Shanghai

↳ 1st Chairman -> INDIAN -> K. Kamath

2024 -> 6 countries Added -> Argentina

- Ethiopia

- Saudi Arabia

- UAE

- IRAN

Objective

Just live USA, EU Asian want to make their own group

IBSA

Int. organization

-> obs -> Just live USA, EU and the developing countries

-> June 2003

↳ Brazil Declaration

↳ India - Asia

Brazil -> South America

South Africa

6 - June - 2003 IBSA Formation

BIMSTEC

→ June 1987 → Thailand Bangkok meet
↳ BIMSTEC formation
↳ India, Bang., SL, Thailand
Economic cooperation.

→ In Nov. 1991 → Myanmar is added
Then it became BIMSTEC

→ 1st summit → 2004 - Bangkok
↳ 31/07/2004.

↳ NEPAL
BHUTAN } added
and BIMSTEC become.

Bay of Bengal Initiative for multi-Sectoral Technical
Economic cooperation

G-15 - Group - 15

→ Developing countries of world.

↳ Non-Aligned Summit → 1989, Belgrade

↳ Decision - G-15

↳ 1st meet → 1-3 January - 1990, Kuala Lumpur

↳ After some time, 2 countries - added

→ India is founding member L G-17

→ G-17 at India for neighbourhood of shilanka

obj

→ backward countries to maintain balance in trade.

→ Investment and financial

G-20

formation → Berlin . 1999

→ Don't have a permanent Secretariat

→ 1st Summit of G-20 was held in India in 2023.

→ India is founding member

→ India is the only country from South Asia

objective

→ Industrial development and development of developing countries

Asian Development Bank (ADB)

formation → 22. August . 1966. in Manila, Philippines.

It is a multilateral Bank

obj → Economic development of Asian countries.

It has

68 members

48 is from Asia-Pacific region and

19 is from other region.

Head quarter

Manila, Philippines

→ India is the founding member of ADB.

→ India is the fourth largest shareholder (6.3%) of ADB

European Economic Community (European Union)

January 1952 by Rome Treaty

With 6 nations

→ France, Belgium, Luxembourg

West Germany, Italy and the Netherlands

In Jan 1, 1973 Ireland, Denmark and UK Added

Greece → 1981

Portugal → 1984

Spain → 1985

called the European Union.

Its current 27 members

→ Croatia is the latest member.

~~Ho~~ → Brussels, Belgium.

The Association of South East Asian Nations (ASEAN)

→ Non-military, Non-defensive regional economic and cultural organisation.

→ Formed on August 8, 1967 by Bangkok Declaration

→ By South Asian countries: Malaysia, Singapore, the Philippines, Indonesia, and Thailand

→ Other five member countries: Cambodia, Vietnam, Laos, Myanmar, and Brunei. This has a total of 10 members

It has 12 full dialogue partner countries including

India, US, China, Russia

↳ In 1986.

~~Ho~~ → Jakarta, Indonesia

→ 1st ASEAN summit was held on 23-24 Feb 1976 in Bali Indonesia

Gr-7

Foundation → 1975

Gr → countries → Canada, France, Germany, Italy, Japan, Britain
and United States

→ No Headquarters.

Shanghai Cooperation Organisation (SCO)

Formation → 1996 by China.

obj

To address border security issue with its four neighbours.

Members → Russia, China, Kazakhstan, Kyrgyzstan, Tajikistan and Uzbekistan

→ India, Iran and Pakistan were included in the Summit as observers.

→ Official languages → Russian and Chinese (Mandarin)
Its secretariat is located in Beijing.

The organization of the petroleum exporting countries (OPEC)

Formation → 1960 - ~~Baghdad~~ Baghdad (Iraq).

Its founding members → Iran, Iraq, Kuwait, Saudi Arabia and Venezuela.

→ current members → 13.

HQ → Vienna (Austria).

Objective

• control the production and price of mineral oil.

• Interest of Petroleum Exporting

Asian Infrastructure Investment Bank (AIIB)

→ 2015 in Beijing
→ 57 founding members (32 regional and 25 non-regional)

Headquarters Beijing China

currently → 105 members (92 full members and 13 prospective members)

6.5

• Investment and infrastructure in Asian countries.